

will be the largest pan-regional private performing private credit fund in the Asia Pacific.

HIGHER YIELDS

Depending on the due diligence, such funds may lend to companies whose credit rating is below investment grade, the kind of firms that traditional lenders usually avoid. Since such loans involve higher risk, the interest rate is higher.

Yields in private credit funds can range between 12-13% and 17-18%, depending on the fund manager, the underlying risk and strategy. That's perhaps one reason why some investors are increasingly looking at this asset class amid the current equity market volatility.

64 | "If you make early double-digit returns in a fixed income asset class, which is well collateralised, well secured, well covenanted, especially at this point of time, you get a very resilient portfolio," says Kapoor of Motilal Oswal Alternates.

Of course, it goes without saying that when higher risk is involved, returns may not be guaranteed. "Like in any other product, past performance is not an indicator of future returns. Experience and knowledge of providing credit to corporates in different economic cycles is critical," says Srinivasan.

GLOBAL HEADWINDS

The frenetic activity in the domestic private credit market, though, comes against a backdrop of global turbulence. In recent weeks, the \$2-trillion private credit market in the US has been in the spotlight as some asset managers restricted investor withdrawals after a surge in redemption requests. Some

CONCERNS

IN RECENT MONTHS, A FEW ASSET MANAGERS IN THE \$2 TRILLION US CREDIT MARKET HAVE RESTRICTED INVESTOR WITHDRAWALS DUE TO A SURGE IN REDEMPTION REQUESTS

AGGRESSIVE LENDING PRACTICES OF THE PAST ARE HITTING HARD AMID THE CURRENT MARKET VOLATILITY IN THE WAKE OF THE CONFLICT IN WEST ASIA

EXPERTS SAY PRIVATE CREDIT MARKET IN INDIA DIFFERENT, SO THEY DON'T EXPECT MUCH IMPACT HERE

PRIVATE CREDIT FUNDS HERE ARE LARGELY CLOSE-ENDED, DON'T USE STRUCTURAL LEVERAGE

reduced exposure to the private credit industry by marking down the value of some loans in their portfolios.

The situation escalated after geopolitical shocks hit global trade. Partly spurred by the uncertainty, investors in the US started placing redemption requests. Analysts, however, don't see this as a systemic risk.

Back home, fund managers feel the developments in the US stem mainly from the way semi-liquid funds are structured.

"These vehicles offer periodic liquidity even though they invest in illiquid assets, which can lead to asset-liability mismatches during periods of high redemptions. In such situations, managers may have to restrict withdrawals to protect investors," says Kotak's Srinivasan.

The India market is structurally different. Importantly, most private credit funds here are close-ended. Also, these funds don't use structural leverage, apart from short-term operational lines. Under regulatory guidelines, Category II AIFs in India are not allowed to take long-term loans. Except for meeting routine operational expenses, they generally don't borrow. In the West, private credit funds may use bank borrowings to increase their investment size and in turn boost investor returns.

More importantly, says Srinivasan, credit demand in India is driven by strong economic growth, and the need for long-term capital continues to exceed supply.

"This creates a naturally resilient environment, making a US-style redemption stress unlikely to occur here." **BT**

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